Setting unrealistic expectations

Stock market investing can make you a millionaire, but investors in training know that stock market investing is not going to make you a millionaire overnight. Or even in a few years. There are always headlines of how people made gains in the market — heck, I was one of them — but it's circumstantial and often requires a large amount of capital to create those gains, along with a sprinkle of luck (like investing at the bottom of a COVID-19 crash without knowing it was the bottom).

The market returns that magical 7 to 10 per cent on average, but this means some years it may return 34 per cent (e.g. in 1995) and another year –38 per cent (e.g. in 2008). It's about setting realistic expectations.

Not taking into account tax obligations

Tax is often an overlooked part of investing. Investors in training don't want to be surprised with a tax bill they weren't expecting after their first year of investing.

Tax laws will vary country by country, but most countries treat stocks like real estate. If your country has a capital gains tax on property, it likely has capital gains on shares. Once you sell your share, you need to pay capital gains tax on the profit you've made as well. This is often done at the end of the financial year along with your income tax filings.

Your dividends are also taxed, and this is usually done in accordance with your tax bracket. If you're a lower income earner, your dividend tax will be lower than if you are in a higher tax bracket.

Some countries offer tax breaks or credits to investors, so it is always advised to seek a tax professional for any country-specific questions you may have.

Not normalising investing conversations

I believe that once we begin taking control and growing our money, we should make it a habit to involve and share this knowledge with our friends and family. We talk about our bowel movements (or is that just me?) but shy away from the conversations about growing wealth and financial freedom.